Know Your Business (KYB) / CDD / EDD — Simulated Case

Ihab Diab | Independent educational exercise | Fictional entities and records only

Scenario: Meridian Parts LLC

A fictional wholesale automotive parts company seeks a business banking account. It reports domestic purchases and occasional international supplier payments. Disclosed ownership: Avery Kim 60%, Blake Chen 25%, Cedar Holdings LLC 15%. No identities or registration records are real.

KYB: business verification

Check legal name, registration status, business activity, addresses, operating purpose, business documents, control persons, ownership chain and expected account use. In this scenario the ownership disclosures and formation documentation are incomplete; no external records were checked.

CDD: customer risk understanding

Compare known facts, claimed operations, owners/controllers and anticipated transactions with supporting information. Document expected activity, missing documents and provisional risk indicators. Do not infer that the business is unlawful based only on missing documents.

EDD: when additional review may be warranted

Potential triggers include unexplained ownership complexity, inconsistencies in stated business activity, concerning screening findings, higher-risk geographic exposure or material deviations from expected transactions. Each requires verification and an institution-specific risk-based assessment. EDD does not automatically follow from a single unusual transaction.

Information requests and next steps

Request appropriate entity formation documents, evidence of operating activity, details regarding controlling persons, beneficial ownership information as required by current law and policy, and explanations of expected counterparties. If required, run approved PEP/sanctions/adverse-media checks; no such checks were performed here.

Simulated outcome

CDD/KYB review remains PENDING: obtain and corroborate supporting documents, determine required screening, and reassess whether EDD is needed. No final customer risk rating or regulatory filing is claimed.

Disclosure: AI-assisted, fully fictional training example, not actual banking experience. Applicable US beneficial ownership and due-diligence rules should be checked against current FinCEN guidance and bank policy.